NISM SERIES XXI-A · SEPTEMBER 2026 WORKBOOK · STUDY NOTES

Portfolio Management Services Distributors



Sell ₹50-lakh portfolios the right way: know the product, the rules and the maths behind every PMS pitch.

A Portfolio Manager is like a personal chef for your money: instead of a buffet that everyone shares (a mutual fund), the chef cooks a separate plate for each rich client, held in that client's own demat account. A PMS distributor is the person who introduces clients to these chefs, explains the menu (investment approaches), the bill (fees, exit loads) and the risks. Because the minimum ticket is ₹50 lakh and the products can be complex, SEBI wants every distributor to prove a minimum level of knowledge before talking to investors. This certification is that proof.

📋 Exam pattern

100	120 min	60%	10% of the marks assigned to the question (0.1 mark per wrong answer)
Total marks	Duration	Pass mark	Negative marking

100 multiple choice questions · Test centre workstations have Microsoft Excel or LibreOffice for numericals (PRICE, YIELD, DURATION, XIRR). Exam applies to the September 2026 workbook for tests on or after October 31, 2026. Chapter 9 (15) and Chapter 8 (13) carry the highest weightage.

👥 Who needs it

- Any person or entity engaged in the distribution of Portfolio Management Services (the code of conduct requires distributors to hold valid certification as specified by SEBI at all times)
- Employees of distributors who market PMS investment approaches to clients
- Relationship managers and wealth managers of banks, brokers and wealth firms who pitch PMS products
- PMS distributors must also obtain registration with APMI (SEBI circular dated May 02, 2024)

🧭 Exam strategy

- You have 120 minutes for 100 one-mark questions: about 70 seconds each. Do a fast first pass and flag numericals.
- Negative marking is only 10% of the mark, so an educated guess after eliminating even one option has positive expected value.
- Chapters 9 (15), 8 (13), 3, 7, 10 and 12 (10 each) are 68 marks together: master these first.
- Keep Excel/LibreOffice open for TWRR linking, XIRR, PRICE, YIELD and DURATION; type formulas instead of mental maths.
- For regulation questions, watch absolute words: 'shall not', 'only', 'except', 'at least', 'not exceeding'.
- Separate the three service types carefully; many distractors swap discretionary, non-discretionary and advisory.
- In performance questions, first identify whether the question wants total risk (Sharpe/SD) or market risk (Treynor/beta).
- Use the 2026 workbook figures (e.g., ₹10,000 dividend TDS threshold from FY 2025–26, PaRRVA dates) even if you remember older numbers.



Chapter 1 · Weight: 7

Investments

Why people invest, how investment differs from saving and speculation, how the required rate of return is built up, and the many risks and asset types an investor can choose from. It ends with the channels: direct investing vs managed products like MFs, PMS and AIFs.

> **MAKE IT STICK**
> Riya skips a ₹1,000 dinner today because a bank promises ₹1,020 next year. That extra ₹20 (2%) is the pure price of waiting. If prices rise 6%, she needs about 8.12% just to stay even, and if the borrower is shaky she will ask for a risk premium on top.

1. Savings = income minus spending; Investment = committing savings for a period expecting a higher amount back. Every investor is a saver, but not every saver is an investor.
2. Investment involves determining value and buying assets whose intrinsic value exceeds market price; speculation pays no attention to value and chases profit with little regard to risk.
3. Investment objectives must be stated in terms of risk AND return (plus liquidity): 'risk leads return', not the other way round.
4. Four return objectives: Capital Preservation (risk averse / short term), Capital Appreciation (long term growth), Current Income (retirees), Tax Saving.
5. Real risk-free rate = pure time value of money (no inflation, no uncertainty). Nominal risk-free rate = real rate + inflation. Required return = nominal risk-free rate + risk premium.
6. Exact nominal rate: NRR = (1 + real rate) x (1 + expected inflation) - 1, e.g. (1.02 x 1.06) - 1 = 8.12%.

7 Required rate of return is the minimum return expected; it is NOT guaranteed, NOT the forecast return and NOT the realised return.

8 Risk = possibility that actual return differs from expected; measured mathematically as standard deviation (dispersion around the average).

9 Risk types: business, financial, liquidity (T-bills have none; penny stocks have high), exchange rate (home currency depreciation increases foreign returns), political, geopolitical, regulatory.

10 Soft commodities (wheat, sugar) are perishable and volatile; hard commodities (gold, silver) are reserve assets; commodities generate no current income.

11 Structured products = bonds/equity + derivatives; complex, illiquid and carry issuer credit risk; best for sophisticated investors.

12 Registered Investment Advisers cannot earn both commission and fee from the same investor.

13 PMS minimum investment is ₹50 lakh; AIF minimum is ₹1 crore. In PMS the investor directly owns the securities.

14 AIF categories: Cat I (start-ups, VC, social ventures), Cat II (PE and debt funds), Cat III (hedge funds, long-short).

Pure rate example	**₹1,000 today for ₹1,020 next year = 2%**
NRR with 2% real and 6% inflation	**8.12%**
PMS minimum ticket	**₹50 lakh**
AIF minimum ticket	**₹1 crore**
Statistical measure of total risk	**Standard deviation**

🎯 EXAM TIP
Expect definitions: savings vs investment, investment vs speculation, which objective suits a retiree (current income), and the build-up of required return. A quick NRR or PV/FV numeric is common.

⚠️ TRAP
Required return is not the expected or guaranteed return. Also, home-currency DEPRECIATION increases returns on foreign assets; appreciation reduces them.



Chapter 2 · Weight: 5

Introduction to Securities Markets

What 'securities' legally means, how money is raised in the primary market and traded in the secondary market, and who the players are: exchanges, clearing corporations, depositories, brokers, custodians, merchant bankers and institutional and retail investors.

MAKE IT STICK
Think of the primary market as a bakery selling fresh bread (new shares) to customers, and the secondary market as a farmers' market where customers resell that bread among themselves. The clearing corporation is the trusted cashier standing between every buyer and seller so nobody gets cheated.

1. 'Securities' is defined in Section 2(h) of the Securities Contracts (Regulation) Act, 1956: shares, bonds, derivatives, units of CIS and MFs, security receipts, government securities, rights or interest in securities, etc. ULIPs are excluded.

2. Primary market = fresh capital raising (IPO, FPO, rights, private placement, preferential issue, QIP, bonus, OFS). Secondary market = trading among investors (OTC or exchange-traded).

3. IPO = first sale of shares to the public; FPO = further issue by an already listed company.

4. Private placement (Companies Act 2013) = offer to less than 200 persons; preferential issue = listed issuer allots to a select group under SEBI pricing/lock-in rules.

5. QIP = private placement by a listed company only to Qualified Institutional Buyers (FIs, MFs, banks, etc.).

6. Bonus issue is made from free reserves out of genuine profits, without consideration; once announced cannot be withdrawn; not allowed if company defaulted on debt interest/principal or FDs. 1:3 bonus = 1 bonus for every 3 held.

7. OFS = existing shareholders sell; no increase in share capital; proceeds go to offerors. It is a secondary market transaction via the primary market route.

8. Clearing corporation provides novation: buyer to every seller and seller to every buyer, and guarantees settlement; it collects initial (VaR-based) and MTM margins.

9. Two depositories in India: NSDL and CDSL; investors deal through Depository Participants (DPs).

10. Authorised Persons are agents of brokers (formerly sub-brokers); sub-brokers had to migrate to AP/TM per SEBI circular of August 3, 2018.

11. Custodians hold funds and securities of large clients (banks, insurers, FPIs), settle trades and track corporate actions.

12. Retail individual investor (SEBI ICDR 2018) = applies for not more than ₹2 lakh in an IPO/FPO.

13. NPS was introduced from January 1, 2004 and is regulated by PFRDA; EPFO is set up under the EPF & MP Act, 1952 and does not invest directly in individual stocks.

Definition of securities	**Section 2(h), SCRA 1956**
Private placement threshold	**Less than 200 persons**
Retail individual investor limit	**Up to ₹2 lakh**
Depositories	**NSDL and CDSL**
NPS start	**January 1, 2004 (PFRDA)**

🎯 EXAM TIP
Questions love distinguishing preferential issue vs private placement vs QIP, and the OFS 'no new capital' point. Also the clearing corporation's novation and margin roles.

⚠️ TRAP
OFS happens through the primary-market route but is economically a secondary sale: the company receives nothing. A bonus issue raises no money either.



Chapter 3 · Weight: 10

Investing in Stocks

Equity as ownership with residual claims, the risks of stocks (market, sector, company), how diversification helps, and how analysts value shares using DCF models, asset-based valuation and relative multiples. Technical analysis is the price-and-volume alternative.

MAKE IT STICK
Buying a share is like buying one slice of a pizza shop: you get the leftover profit after suppliers and lenders are paid. A fundamental analyst inspects the kitchen (EIC) to see what the shop is worth; a technical analyst just watches how fast the queue outside grows.

1. Equity holders have a residual claim (paid last in liquidation), voting rights and ownership; upside is unlimited.
2. Market (systematic) risk affects all stocks, is proxied by beta, cannot be diversified but can be hedged. Sector and company-specific (unsystematic) risks can be diversified away.
3. Two forms of diversification: cross-sectional (across sectors/geographies at a time) and time diversification (staying invested long).
4. Fundamental analysis finds intrinsic value; buy if market price is below intrinsic value (gap must cover transaction costs). EIC = Economy, Industry, Company (top-down). Bottom-up starts with the company.
5. Industry life cycle: introduction, growth, maturity, decline; growth phase offers best opportunities. Porter's five forces assess competition.
6. Gordon Growth Model: P0 = D1 / (r - g).
7. FCFF = EBIT(1 - t) + Depreciation - Capex - Change in WC; discounted at WACC; Equity value = EV - Debt + Cash.
8. FCFE = Net income + Depreciation - Capex - Change in WC + Net borrowing; discounted at cost of equity from CAPM: re = Rf + beta(Rm - Rf).
9. Asset-based (replacement value) valuation suits asset-heavy firms (financials, real estate, gold/jewellery) but ignores future cash flows.
10. P/E = Price / EPS. Trailing P/E uses last four quarters' EPS; forward P/E uses expected next four quarters. Lower P/E vs peers suggests undervaluation.

11 P/BV is widely used for banks and financial services; P/S is useful for loss-making or low-margin businesses (sales are harder to manipulate).

12 PEG = P/E divided by growth: 1 = fair, less than 1 = undervalued, more than 1 = overvalued.

13 EV/EBITDA suits capital-intensive industries and firms with different debt structures; preferred in M&A and LBO analysis.

14 'Price is a fact but value is an opinion.' Technical analysis assumes all information is in prices; uses price, volume, trends, support and resistance; is for short-term trading.

Gordon model	CAPM	PEG fair value	FCFF discount rate	FCFE discount rate
P0 = D1 / (r – g)	**re = Rf + β(Rm – Rf)**	**PEG = 1**	**WACC**	**Cost of equity**

🎯 EXAM TIP

Expect quick numericals (P/E, PEG, Gordon, CAPM, FCFF) and match-the-model questions: which multiple for banks (P/BV), loss-makers (P/S), capital-intensive firms (EV/EBITDA).

⚠️ TRAP

FCFF goes with WACC and gives enterprise value; FCFE goes with cost of equity and gives equity value directly. Do not mix them up.

Chapter 4 · Weight: 5

Investing in Fixed Income Securities

How bonds work (coupon, face value, maturity, embedded options), how safe they are (indenture, covenants, ratings), how to value them and find YTM, and how sensitive their prices are to interest rates (duration).

MAKE IT STICK

A bond is a see-saw: interest rates sit on one end and bond prices on the other. When rates jump up, prices drop, and the longer the plank (maturity) and the lighter the coupon, the bigger the swing.

1 In India, long-term debt issued by government, their undertakings or DFIs is called 'bonds'; others are 'debentures'. G-Secs form the largest segment.

2 G-Secs and securities of banks/NBFCs are regulated by RBI; corporate debt issues are regulated by SEBI. The corporate bond primary market is mostly private placement.

3 Money market = maturity of one year or less; capital market = more than one year. Zero coupon bonds are issued at a discount; perpetual bonds never mature.

4 G-Secs normally pay semi-annual coupons with tenors of 5 to 30 years.

5 Market rate above coupon: bond trades at a discount (YTM > coupon). Market rate below coupon: premium (YTM < coupon). At par: YTM = coupon.

6 Callable bonds favour the issuer and expose investors to reinvestment risk; puttable bonds favour the holder; convertible bond = plain bond + equity call option.

7 Indenture = legal agreement between issuer and holders; covenants can be positive (must do) or negative (prohibited).

8 Ratings are given to instruments, not firms. Long-term: AAA highest safety down to D (default); modifiers + / - allowed for AA to C. Short-term: A1 to A4 and D; modifier + allowed for A1 to A4.

9 Excel: PRICE gives intrinsic value per ₹100; YIELD gives YTM; DURATION gives Macaulay duration.

10 Indian bond day count is 30/360; money market (T-Bills) uses actual/365.

11 Price volatility is inversely related to coupon (zero coupon is most volatile) and directly related to maturity (increasing at a diminishing rate); price rise from a yield fall is larger than the drop from an equal yield rise.

12 Macaulay duration is the weighted average time to recover investment; it is less than or equal to maturity and equals maturity only for a zero coupon bond.

13 % change in price = - Modified Duration x change in yield (in decimals).

Money market maturity	**1 year or less**
G-Sec tenor	**5 to 30 years, semi-annual coupon**
Indian bond day count	**30/360 (money market: actual/365)**
Duration = maturity only for	**Zero coupon bond**
Illustration YTM	**12% coupon bond at ₹97.5 per ₹100, 5 yrs: YTM 12.69%**

🎯 EXAM TIP
Classic asks: price-yield inverse relation, discount/premium vs YTM, call vs put features, rating symbols, and a modified-duration price-change calculation.

⚠️ TRAP
Higher coupon means LOWER price volatility. And a callable bond increases reinvestment risk for the investor, not the issuer.

Chapter 5 · Weight: 5

Derivatives

Forwards, futures, options and swaps, where they trade (OTC vs exchange), why people use them (hedging, speculation, arbitrage), and the specific rules for derivatives inside a PMS.

MAKE IT STICK
You agree today with a goldsmith to buy 10 g of gold next month at ₹30,450: that's a forward. Put the same deal on an exchange with standard lot sizes and a clearing house guarantee: that's a future. Pay a small premium for the right (but not the duty) to buy: that's an option.

1. Derivative = contract whose value is derived from an underlying (metals, energy, agri, shares, bonds, currencies). Defined under SC(R)A 1956 and Section 45U(a) of the RBI Act 1934.

2. Forwards: bilateral OTC, customised, suffer from liquidity risk and counterparty (default/credit) risk.

3. Futures: standardised, exchange-traded, clearing corporation guarantees settlement, both parties pay margins. Exchange fixes all terms except price.

4. Options: buyer (holder) has right but no obligation and pays premium; seller (writer) has the obligation. Call = right to buy; Put = right to sell.

5. Swaps: exchange of cash flows; in an interest rate swap only interest on the notional principal is exchanged, never the principal.

6. Forwards and swaps are OTC; futures and options are exchange-traded.

7. Purposes: hedging (protect an existing position), speculation (no underlying position), arbitrage (riskless profit from price differences, law of one price).

8. Derivatives are a zero-sum game (ignoring taxes and transaction costs).

9. SEBI mandates physical settlement for all stock derivatives (unless squared off); index derivatives are cash-settled.

10. Commodity derivatives trade on MCX and NCDEX, regulated by SEBI.

11. PMS may use derivatives (including for hedging and rebalancing) only through recognised stock exchanges and per the PMS agreement.

12. Total derivative exposure of a client must not exceed the client's portfolio value; PMs cannot leverage client portfolios for derivatives.

13. Portfolio managers may participate in exchange-traded commodity derivatives for clients, subject to regulatory stipulations and client consent.

PMS derivative exposure cap	**Not more than client's portfolio value**
Stock derivatives settlement	**Physical (index: cash)**
OTC derivatives	**Forwards and swaps**
Exchange-traded	**Futures and options**
RBI Act derivative definition	**Section 45U(a)**

🎯 **EXAM TIP**
Expect who-has-the-obligation questions for options, OTC vs exchange classification, and the PMS derivative exposure rule.

⚠️ **TRAP**
An option BUYER never has an obligation; the WRITER does. In a swap, principal is notional and not exchanged.

Chapter 6 · Weight: 5

Collective Investment Vehicles

Pooled vehicles that compete with or complement PMS: mutual funds, REITs, InvITs and AIFs, their trust-based legal structures, and their sub-types.

MAKE IT STICK

A mutual fund is a big shared taxi, a REIT is co-owning a rented office tower, an InvIT is co-owning a toll road, and an AIF is a private jet club for the wealthy. PMS, in contrast, is your own chauffeured car.

1. SEBI (Mutual Fund) Regulations, 2026 define a mutual fund as a fund established as a trust to raise money by selling units to the public for investing in securities, money market instruments, gold/silver related instruments and other permitted assets.
2. MF benefits: diversification, professional management, SIP from ₹500 per month, liquidity (except close-ended), ELSS tax benefit under Section 80C, transparency, economies of scale.
3. REITs (SEBI REIT Regulations, 2014) own income-generating commercial real estate, must be listed and distribute a significant portion of earnings.
4. InvITs (SEBI InvIT Regulations, 2014) own infrastructure assets (roads, power lines, renewables); must be listed.
5. MF structure: Sponsor, Trustee, AMC, Custodian, RTA. REIT: Sponsor, Trustee, Investment Manager, Custodian, Valuer. InvIT adds a Project Manager.
6. Factor (smart beta) funds sit between active and passive: momentum, low volatility, value, quality. Quality does well in bear markets; momentum in bull markets.
7. REIT types: Equity (rent), Mortgage (interest on loans/MBS), Hybrid (both).
8. InvIT types: Public (listed, retail allowed), Private (unlisted, institutional only), Full-fledged (operational assets, lower risk), Developmental (under-construction, higher risk).
9. AIF Category I: VC, angel, social venture, infrastructure funds (get incentives). Category II: PE, debt, fund of funds (no incentives). Category III: hedge funds, quant funds using leverage, short selling, derivatives.

MF regulations cited	SEBI (Mutual Fund) Regulations, 2026
REIT / InvIT regulations	2014
Minimum SIP mentioned	₹500 per month
Entity unique to InvIT	Project Manager
Hedge funds	AIF Category III

🎯 EXAM TIP
Classification questions dominate: which AIF category, which REIT/InvIT type, which entity performs which role in the trust structure.

⚠️ TRAP
Fund of Funds sits in AIF Category II, not III. Private InvITs are only for institutional investors.



Chapter 7 · Weight: 10

Role of Portfolio Managers

Who a portfolio manager is, the three types of services, the general responsibilities in the regulations, the do's and don'ts, exit loads, custodian, record keeping, audit and compliance officer.

MAKE IT STICK
Imagine three drivers. The discretionary driver picks the route himself. The non-discretionary driver asks you at every turn and then drives. The advisory driver just reads you the map and you drive. All three must keep your car (securities) in your own garage, never in theirs.

1. A portfolio manager is a body corporate that, under a contract with a client, advises, directs or undertakes management of the client's securities or funds. Registered under SEBI (Portfolio Managers) Regulations, 2020.
2. PMS began in January 1993 with SEBI (Portfolio Managers) Regulations, 1993, which came even before MF regulations.
3. Providers: AMCs, brokerage houses, boutique (independent) firms. Product classes: equity, fixed income, commodity, mutual fund, multi-asset.
4. Discretionary: PM exercises any degree of discretion. Non-discretionary: PM executes as per client direction (execution, not management). Advisory: non-binding advice; client decides and executes.
5. Minimum investment ₹50 lakh (funds or securities) for new clients and fresh investments; does not apply to accredited investors (with disclosure) or co-investment portfolio managers.
6. PM acts in a fiduciary capacity, segregates each client's securities, keeps client funds in a separate account in a Scheduled Commercial Bank.
7. PM shall not borrow on behalf of clients, not lend client securities (except as permitted), not derive direct/indirect benefit, not leverage for derivatives, not invest in another PM's portfolio, not act on another entity's advice.
8. No lock-in can be imposed. Exit load: max 3% in year 1, 2% in year 2, 1% in year 3, nil after 3 years (Feb 13, 2020 circular).
9. No distribution fee may be charged when investing in MF direct plans; no bill discounting, badla or lending of client funds.
10. Pooled orders must be allocated pro rata at the weighted average price of the day; no open position in allocation.

11 Off-market transfers allowed only for client's own trade settlement, margins, unlisted securities, specific consent per transaction, or reasons SEBI specifies.

12 Every PM except advisory-only must appoint a custodian. Records preserved for preceding 5 accounting years. Audit certificate to SEBI within 6 months of year end.

13 Grievances to be redressed within 21 calendar days. Compliance officer monitors compliance and reports non-compliance to SEBI immediately and independently.

Minimum investment	Exit load caps	Grievance redressal
₹50 lakh	3% / 2% / 1% / nil after 3 years	21 calendar days

Record preservation	Audit certificate to SEBI
Preceding 5 accounting years	Within 6 months of year end

🎯 EXAM TIP
Very high-yield chapter: discretionary vs non-discretionary vs advisory, the do's/don'ts list, exit-load slabs and the custodian exemption for advisory-only PMs.

⚠️ TRAP
Non-discretionary PMs still EXECUTE trades; advisory clients execute themselves. And the ₹50 lakh rule does not apply to accredited investors.



Chapter 8 · Weight: 13

Operational Aspects of Portfolio Managers

The nuts and bolts a distributor handles daily: who can invest, the Disclosure Document, KYC and on-boarding, the PMS agreement and MITC, direct on-boarding, grievance redressal including ODR, reporting to SEBI and FIU, fees and expense caps, high water mark, hurdle rate and periodic reporting.

MAKE IT STICK
On-boarding a PMS client is like checking into a hospital for surgery: you get the brochure (Disclosure Document), sign consent forms (agreement), get a one-page summary of what matters (MITC), and if anything goes wrong there's a complaints desk with escalation (SCORES, then ODR conciliation and arbitration).

1 Eligible investors (₹50 lakh minimum): individuals, NRIs (per RBI), HUFs, proprietorships, AOPs, partnership firms, LLPs, trusts, body corporates.

2 Disclosure Document must be given with the account opening form BEFORE signing the agreement and kept on the PM's website. Simplified format introduced by SEBI circular of Sep 09, 2025 (in consultation with APMI).

3 Disclosure Document: Part I static (disclaimer, definitions, description, penalties, services, risk factors, expenses, taxation, accounting policies, investor services, diversification policy) and Part II dynamic (client representation, financial performance, PM performance for last 3 years using TWRR, audit observations of preceding 3 years, related party investments).

4 Deviations from order/allocation policy only in exigency, with prior written approval of Principal Officer and Compliance Officer; policies approved by the Board.

5 Dealing team conversations only via recorded lines or authorised email; no mobile phones in dealing room. PMs with AUM of ₹1,000 crore or more need automated order and allocation systems.

6 PAN is mandatory for KYC; SEBI circular of May 23, 2025 mandates inclusive digital KYC for persons with disabilities.

7 Agreement covers objectives, period, investment approach, instruments, withdrawal terms, fees, custody and, for discretionary PMs, that client liability shall not exceed investment.

8 MITC must be acknowledged by clients: for new clients on-boarded on or after October 01, 2024; existing clients informed by January 01, 2025.

9 Direct on-boarding option must be offered; only statutory charges may be levied on direct clients.

10 Joint holding: records in first holder's name; mode single/joint/anyone or survivor; change needs all holders' signatures; demat holders cannot be added/deleted after opening.

11 Penalties include suspension, cancellation, ban on new assignments, debarring the principal officer or a branch, and warning (SEBI Intermediaries Regulations, 2008).

12 Regulation 22A (ADR) w.e.f. July 3, 2023: disputes go to mediation/conciliation/arbitration. ODR stages: pre-conciliation, conciliation (both free for investors), arbitration (binding). SMART ODR portal assigns MII by round robin.

13 Suspicious transactions reported to FIU-IND within 7 working days.

14 No upfront fees; brokerage at actuals; operating expenses (excluding brokerage) capped at 0.50% p.a. of average daily AUM.

15 Reports to client at intervals not exceeding 3 months, including distributor commission for that client. Advertise with TWRR vs benchmark; report to each investor XIRR plus min, max and median XIRR across investors.

Operating expense cap
0.50% p.a. of average daily AUM (excl. brokerage)

STR to FIU-IND
Within 7 working days

Automated systems needed at AUM
₹1,000 crore or more

MITC new clients from
October 01, 2024

Client report frequency
At least every 3 months

🎯 EXAM TIP

Highest-weight operational chapter. Know the Disclosure Document parts, MITC dates, fee caps, HWM/hurdle mechanics, ODR stages and the TWRR vs XIRR reporting split.

⚠️ TRAP

TWRR is for the investment approach and advertising; XIRR is for the individual investor's own report. Also, performance fee under a high water mark is charged only on gains above the previous peak.



Chapter 9 · Weight: 15

Portfolio Management Process

The heaviest chapter. Asset allocation drives long-run performance; the process runs planning (IPS, risk profile, objectives, constraints), execution (forecasts, allocation, construction) and feedback (monitoring, rebalancing, evaluation). Covers SAA vs TAA, factor investing, benchmarking rules and rebalancing.

MAKE IT STICK

Building a portfolio is like planning a long road trip: the IPS is your route map, constraints are fuel stops and road closures, SAA is the planned route, TAA is the quick detour around a traffic jam, and rebalancing is correcting the steering every few hours.

1. Asset allocation = distributing wealth among asset classes; in the long run portfolio performance depends majorly on asset allocation.
2. Correlation ranges from -1 to +1. Equities and bonds often have low/negative correlation; gold and equities often negative in crises.
3. Process: (1) Investment Policy Statement, (2) study current conditions and forecast, (3) construct portfolio, (4) performance measurement and evaluation. Planning to execution to feedback.
4. IPS is drafted with the investor: objectives, goals, constraints, preferences, risk tolerance; it is the base for strategic asset allocation and evaluation and protects against inappropriate decisions.
5. Risk profiling components: risk tolerance (willingness), risk capacity (ability), horizon, liquidity needs, knowledge and experience.
6. Sample scoring: 25–30 Aggressive, 19–24 Moderate, 13–18 Conservative, below 13 Risk-averse.
7. Time period proposed with the PM must be the same as the term of the agreement.
8. Investment objectives: capital appreciation, income generation, capital preservation, liquidity, tax efficiency.
9. Constraints: liquidity (emergency cash of 2–3 months' spending), regulatory (LRS USD 2,50,000 per financial year; insider trading ban), tax, exposure limits, unique needs (e.g., ESG preferences).
10. Near-term high-priority goals use cash/fixed income matched to goal date; long-term high priority (retirement) uses diversified assets; low-priority goals can be aggressive.

11 Net worth = assets at market value minus liabilities; calculate at least once a year.

12 SAA = long-term fixed mix, periodic (e.g., annual) rebalancing, passive, lower risk. TAA = short-term active deviations within a range, higher risk and return potential.

13 Factors: macroeconomic (inflation, growth, rates, liquidity) and style (value, momentum, size, quality, low volatility). Risks: cyclicality, data complexity, overcrowding.

14 Each investment approach is tagged to exactly one strategy (equity, debt, hybrid, multi-asset). APMI prescribes a maximum of 3 benchmarks per strategy; the PM picks one. Changing tagging requires offering investors exit without exit load and old track record cannot be used.

15 Rebalancing locks in gains and controls risk but triggers taxes and transaction costs.

First step of the process	**Investment Policy Statement**
Emergency cash	**2–3 months' spending**
LRS limit	**USD 2,50,000 per financial year**
Benchmarks per strategy (APMI)	**Maximum 3**
Aggressive score band	**25–30**

🎯 EXAM TIP
15 marks: expect IPS purpose, objective vs constraint classification, SAA vs TAA comparisons, factor definitions, scoring band questions and benchmark-tagging rules.

⚠️ TRAP
Risk tolerance is WILLINGNESS; risk capacity is ABILITY. Also, an IA can only be tagged to one strategy, and a strategy change triggers a free-exit option.



Chapter 10 · Weight: 10

Performance Measurement and Evaluation of Portfolio Managers

How to measure returns (HPR, XIRR, TWRR, gross vs net, pre-tax vs post-tax, portfolio return), risk (standard deviation, beta), risk-adjusted performance (Sharpe, Treynor), benchmarking, attribution analysis, valuation norms and manager due diligence.

MAKE IT STICK
Two runners finish a race in the same time, but one carried a 20 kg backpack (risk). Sharpe and Treynor ratios tell you who really ran better per kilo of backpack.

1 HPR = (Income + Ending value - Beginning value) / Beginning value; assumes income received at period end.

2 XIRR = annualised return with irregular dated cash flows; reflects investor's own timing (workbook illustration: 15.15%).

3 TWRR breaks the period at each external cash flow, computes sub-period returns and links them: TWRR = (1+R1)(1+R2)...(1+Rn) - 1. It neutralises investor cash flows, so it is ideal to compare managers.

4 Annualised TWRR = (1 + TWRR)^(1/n) - 1; workbook: 49.09% over 2 years = 22.10% p.a.

5 Gross return is before fees/expenses; net return after. Workbook example: 20% gross becomes 13.88% net after expenses, management fee, performance fee and 2% exit load.

6 Post-tax return = Pre-tax return x (1 - tax rate); PMS fees are not deductible for capital gains.

7 Portfolio return = weighted average of security returns; portfolio beta = weighted average beta.

8 Total risk = standard deviation/variance; downside risk = semi-variance. Portfolio risk depends on weights, individual SDs and correlations.

9 Systematic risk measured by beta (beta of cash = 0; beta can be negative). Unsystematic risk can be diversified; alpha rewards it.

10 Sharpe = (Rp - Rf) / σp: reward to variability, uses total risk, most widely used. Treynor = (Rp - Rf) / βp: uses systematic risk.

11 For a fully diversified portfolio, Sharpe and Treynor rank identically; differences arise from diversification levels.

12 Good benchmark: clearly defined constituents and weights, investable, consistent with approach, same risk-return profile, measurable. Customised benchmarks are valid but costly.

13 Attribution: Allocation = Σ(Wp - Wb)Rb; Selection = ΣWb(Rp - Rb); Interaction = Σ(Wp - Wb)(Rp - Rb); total = excess return.

14 APMI prescribes valuation norms and empanels valuation agencies for debt and money market securities; ultimate responsibility for fair valuation stays with the PM.

15 Manager selection starts with drafting the IPS and asset allocation; evaluate philosophy, process, style, past performance vs benchmark, contract terms and fees.

Sharpe denominator
Standard deviation (total risk)

Treynor denominator
Beta (systematic risk)

Workbook net return example
Gross 20% → Net 13.88% → Post-tax 11.10%

Workbook TWRR
49.09% (2 years) = 22.10% p.a.

Workbook attribution
0.1% + 0.85% - 0.05% = 0.9%

🎯 EXAM TIP

Numericals are almost guaranteed: Sharpe, Treynor, portfolio return/beta, TWRR linking, post-tax, and one attribution effect. Know which return measure suits which purpose.

⚠️ TRAP

Selection effect uses BENCHMARK weights; allocation effect uses BENCHMARK returns. Sharpe uses SD, not variance.



Chapter 11 · Weight: 5

Taxation

How PMS income is taxed for residents, NRIs and non-individuals: capital gains on equity and debt, dividends, interest, F&O as business income, non-deductibility of PMS fees, tax reports and the Portfolio Investment Scheme for NRIs.

MAKE IT STICK

In a PMS every trade happens in your own name, so every sale is your own taxable event: think of PMS as many small tax receipts landing in your lap, not one neat mutual fund redemption.

1. Resident: 182 days or more in the FY, OR at least 60 days in the FY and 365 days or more in the preceding four FYs. ROR taxed on global income; RNOR on Indian income.
2. NRIs are taxed only on income earned or received in India; DTAA benefits may apply; subject to TDS.
3. Debt: LTCG if held more than 24 months, taxed at 12.5% (Section 112) without indexation (removed since July 2024); STCG (24 months or less) at slab rate. Interest income at slab rate.
4. Equity: LTCG if held more than 12 months, 12.5% under Section 112A on gains above ₹1.25 lakh per FY; STCG at 20% under Section 111A with no exemption.
5. Dividends taxed at slab (Section 56); TDS 10% if dividends exceed ₹5,000 in a FY, threshold raised to ₹10,000 from FY 2025–26.
6. F&O income in PMS = business income (PGBP) at slab rates; losses can be set off against non-salary income but not salary, carried forward up to 8 assessment years against business income only.
7. Tax audit for F&O: turnover up to ₹2 crore with profit below 6% (and conditions) needs audit; ₹2–10 crore exempt if over 95% transactions digital; above ₹10 crore audit mandatory (Section 44AB(a)).
8. PMS fees (management, performance, brokerage, GST, STT) are NOT deductible for capital gains for individuals; may be deductible if treated as business income.
9. GST on PMS fees is 18%.
10. Quarterly tax reports within 30 days after each quarter; annual tax report at FY end; Form 16A for TDS.

11 NRIs can trade F&O via PMS only through NRO (non-repatriable) funds, not NRE. PIS approval is not required for PMS investments.

12 NRIs cannot do intraday trading or short selling. NRO interest taxable at 30% (plus cess and surcharge); dividends for NRIs carry 20% TDS.

Equity LTCG	Equity STCG	Debt LTCG
> 12 months, 12.5% above ₹1.25 lakh	**20% (Sec 111A)**	**> 24 months, 12.5% no indexation**

F&O loss carry forward	GST on PMS fees
8 assessment years	**18%**

🎯 EXAM TIP
Expect holding-period thresholds, rates, the non-deductibility of PMS fees and F&O loss rules. A simple LTCG calculation with the ₹1.25 lakh exemption is likely.

⚠️ TRAP
Derivative losses cannot be set off against salary. And the workbook's NRI PIS section quotes older rates (STCG 15%, LTCG 10%); read the question context carefully.

Chapter 12 · Weight: 10

Regulatory, Governance and Ethical Aspects of Portfolio Managers

The legal guard rails: PMLA record keeping and due diligence, insider trading code of conduct for intermediaries, PFUTP fraud rules, the key provisions of SEBI (PM) Regulations 2020, PaRRVA, the PMS distributor code of conduct, investor charter and SEBI's cyber security framework.

MAKE IT STICK
Think of these rules as a cricket match's umpires: PMLA watches the money's source, PIT watches who knows what before the ball is bowled, PFUTP calls out match-fixing, and the distributor code of conduct makes sure the commentator (you) does not mislead the viewers.

1 PMLA 2002 in force from July 1, 2005. Record all cash transactions above ₹10 lakh, integrally connected cash series within a month aggregating above ₹10 lakh, and all suspicious transactions (cash or not).

2 PMLA records kept for 5 years; Section 3 defines money laundering; Section 12 obligations; Section 12AA enhanced due diligence (Aadhaar authentication, source of funds, purpose). A Principal Officer ensures PMLA compliance.

3 Insider trading Schedule C: compliance officer reports to board at least once a year; Chinese walls; pre-clearance above board thresholds; pre-cleared trades within 7 trading days; restricted list.

4 Contra trade ban at least 6 months (at least 2 months for MF units); profits from violations disgorged to SEBI's Investor Protection and Education Fund.

5 Designated persons disclose names and PAN of immediate relatives and persons with material financial relationship (payment of at least 25% of annual income in preceding 12 months) annually; educational institutions and past employers one time.

6 PFUTP 2003: fraud includes any act, omission or concealment to induce dealing; prohibits creating false appearance of trading, price manipulation, publishing false information, dealing without intention to transfer ownership.

7 Principal officer = employee responsible for portfolio decisions and all other operations. Change in control needs prior SEBI approval; net worth must be maintained (not for co-investment PMs).

8 Client may withdraw before maturity on termination by either party, suspension/cancellation of PM registration, or PM bankruptcy/liquidation. Renewal on maturity = fresh placement.

9 Discretionary PMs invest in listed/traded securities, money market instruments, MF units, etc. Non-discretionary/advisory can go up to 25% of AUM in unlisted securities; up to 100% for large value accredited investors.

10 Auditor-report deficiencies must be rectified within 2 months. Related party investments need prior client consent (with a dissent option and limit).

11 NEW: PaRRVA (SEBI circular April 29, 2026): CARE Ratings is the verifying agency, NSE is the PaRRVA Data Centre; from May 03, 2028 only PaRRVA-verified risk-return metrics may be communicated.

12 PMS distributor code of conduct: suitability, no assured returns, no rebates/gifts, disclose commissions, no negative statements about other PMs, confidentiality, valid certification at all times; APMI registration mandatory.

13 Investor Charter lists services and timelines (account opening, agreement copy, nominee, KRA/CKYC upload, negative list of securities) and must be displayed on PM websites.

14 NEW: CSCRF (Aug 20, 2024): five goals Anticipate, Withstand, Contain, Recover, Evolve; SOC monitoring (NSE/BSE run Market SOC); cyber incidents reported within 6 hours by email and 24 hours on the SEBI portal; cyber-suraksha.ai task force.

PMLA cash threshold **More than ₹10 lakh**	PMLA record retention **5 years**	Pre-cleared trade window **Within 7 trading days**
Contra trade ban **At least 6 months (MF units: 2 months)**	Unlisted limit (non-disc./advisory) **Up to 25% of AUM**	

🎯 EXAM TIP

PMLA thresholds, insider-trading time limits, the distributor code of conduct (what a distributor must NOT do) and the 2026 additions (PaRRVA, CSCRF) are prime targets.

⚠️ TRAP

The 25% unlisted limit applies to non-discretionary and advisory services, not discretionary. And the contra-trade period is a MINIMUM of 6 months, not a maximum.

🧮 Formulas

Nominal risk-free rate (exact)

```
NRR = (1 + real rate) x (1 + expected inflation) - 1
```

Real 2%, inflation 6%: 1.02 x 1.06 - 1 = 8.12%

Required rate of return (simple)

```
Required return = Nominal risk-free rate + Risk premium
```

Risk-free 7% + risk premium 5% = 12%

Future / present value (1 year)

```
FV = PV x (1 + r); PV = FV / (1 + r)
```

₹100 at 5% = ₹105; ₹105 / 1.05 = ₹100

Gordon Growth Model

```
P0 = D1 / (r - g)
```

D1 ₹6, r 14%, g 10%: 6 / 0.04 = ₹150

Free Cash Flow to Firm

```
FCFF = EBIT(1 - t) + Depreciation - Capex - Change in WC
```

EBIT 100, t 25%, Dep 20, Capex 30, ΔWC 10: 75 + 20 - 30 - 10 = 55

Equity value from EV

```
Equity value = EV - Debt + Cash
```

EV 500, Debt 150, Cash 30: 380

Free Cash Flow to Equity

```
FCFE = Net income + Depreciation - Capex - Change in WC + Net borrowing
```

NI 60, Dep 20, Capex 30, ΔWC 10, borrowing 15: 55

CAPM cost of equity

```
re = Rf + β (Rm - Rf)
```

Rf 6%, β 1.2, Rm 12%: 6 + 1.2 x 6 = 13.2%

P/E ratio

```
P/E = Market price / EPS
```

₹100 / ₹5 = 20 times

PEG ratio

```
PEG = (P/E) / EPS growth rate
```

P/E 30, growth 20: PEG 1.5 (overvalued)

Price to Book

```
P/BV = Price / (Net worth / shares outstanding)
```

Price ₹90, BV per share ₹60: 1.5

Modified duration price change

```
% ΔPrice = - Modified Duration x Δyield (decimal)
```

MD 6, yield +0.50%: -6 x 0.005 = -3%

Holding period return

```
HPR = (I + (E - B)) / B
```

B ₹1,00,000, E ₹1,20,000, I ₹5,000: 25%

TWRR

```
TWRR = (1 + R1)(1 + R2)...(1 + Rn) - 1; sub-period R = (EV - BV - Contribution + Withdrawal) / (BV + Contribution - Withdrawal)
```

10%, -5%, 8%: 1.10 x 0.95 x 1.08 - 1 = 12.86%

Annualised TWRR

```
(1 + TWRR)^(1/n) - 1
```

49.09% over 2 years: 1.4909^0.5 - 1 = 22.10%

Gross and net return

```
Gross = (Gross value - Capital) / Capital; Net = (Net value - Capital) / Capital
```

₹1 crore to ₹1.20 crore gross = 20%; net value ₹1,13,87,600 = 13.88%

Post-tax return

```
Post-tax = Pre-tax x (1 - tax rate)
```

13.88% x 0.8 = 11.10%

Portfolio return / beta

```
Σ wi x Ri ; βp = Σ wi x βi
```

60% at β 1.2 + 40% at β 1.1 = 1.16

Sharpe ratio

```
(Rp - Rf) / σp
```

(10.5 - 5.5) / 6.5 = 0.7692

Treynor ratio

```
(Rp - Rf) / βp
```

(10.5% - 5.5%) / 1 = 0.05

Attribution effects

```
Allocation = Σ(Wp - Wb)Rb; Selection = ΣWb(Rp - Rb); Interaction = Σ(Wp - Wb)(Rp - Rb)
```

Workbook: 0.1% + 0.85% - 0.05% = 0.9% excess return

Hurdle-based performance fee

```
Fee = Fee% x (Portfolio value after fixed fee - Capital x (1 + hurdle))
```

20% x (₹1,17,75,000 - ₹1,10,00,000) = ₹1,55,000

🔢 Numbers to remember

₹50 lakh (not for accredited investors)
PMS minimum investment

₹1 crore
AIF minimum investment

3% / 2% / 1%; nil after 3 years
Exit load year 1 / 2 / 3

0.50% p.a. of average daily AUM
Operating expenses cap (excl. brokerage)

Not allowed
Upfront fees

21 calendar days
Grievance redressal

Within 7 working days
Suspicious transaction report to FIU-IND

Not exceeding 3 months
Client reporting frequency

Preceding 5 accounting years
PM records preservation

Within 6 months of year end
Audit certificate to SEBI

Within 2 months
Rectify auditor deficiencies

AUM ₹1,000 crore or more
Automated order systems mandatory

Up to 25% of AUM; 100% for large value accredited investors
Unlisted securities (non-disc./advisory)

Maximum 3
Benchmarks per strategy (APMI)

New clients from Oct 01, 2024; existing by Jan 01, 2025
MITC compliance

July 3, 2023
ADR Regulation 22A effective

January 1993
PMS regulations first issued

July 1, 2005
PMLA in force

More than ₹10 lakh; records 5 years
PMLA cash reporting

Within 7 trading days
Pre-cleared trades

At least 6 months (MF units 2 months)
Contra trade restriction

At least 25% of annual income in preceding 12 months
Material financial relationship

> 12 months; 12.5% above ₹1.25 lakh
Equity LTCG

20%
Equity STCG

> 24 months; 12.5% without indexation
Debt LTCG

₹5,000 (₹10,000 from FY 2025-26), TDS 10%
Dividend TDS threshold

8 assessment years
F&O loss carry forward

Turnover above ₹10 crore
F&O tax audit mandatory

18%
GST on PMS fees

Within 30 days after quarter end
Quarterly tax report

182 days, or 60 days + 365 days in preceding 4 years
Residency test

USD 2,50,000 per financial year (began Feb 4, 2004 at USD 25,000)
LRS limit

Less than 200 persons
Private placement

Up to ₹2 lakh
Retail individual investor

6 hours (email) / 24 hours (SEBI portal)
Cyber incident reporting

May 03, 2028
PaRRVA-only metrics from

📖 Glossary

Portfolio Manager	A body corporate that, under a contract with a client, advises, directs or undertakes management of the client's securities or funds.
Discretionary PMS	The PM exercises any degree of discretion over investments, managing each client individually.
Non-discretionary PMS	The PM executes trades only as directed by the client; the client decides what and when.
Advisory PMS	The PM gives non-binding advice; the client decides and executes; no custodian required.
Principal Officer	Employee designated by the PM, responsible for portfolio decisions and all other operations.
Investment Approach (IA)	Documented investment philosophy: broad outlay of securities and permissible instruments for the client.
Strategy	Broad theme an IA is tagged to: equity, debt, hybrid or multi-asset (only one per IA).
Disclosure Document	SEBI-filed document given before signing the agreement; Part I static, Part II dynamic.
MITC	Most Important Terms and Conditions: a one-page summary of the PM-client relationship acknowledged by the client.
Accredited investor	Investor to whom the ₹50 lakh minimum need not apply, subject to disclosures and agreement.
Co-investment portfolio manager	A PM exempt from the minimum investment rule and certain other requirements such as custodian appointment.
APMI	Association of Portfolio Managers in India: prescribes benchmarks and valuation norms and registers PMS distributors.
High Water Mark	Performance fee is charged only on gains above the portfolio's previous highest value.
Hurdle rate	Minimum return before any performance fee; fee applies only on returns above it.
TWRR	Time-weighted return that removes the effect of client cash flows; used to judge the manager and in advertisements.
XIRR	Annualised return using dated irregular cash flows; reflects the investor's own experience.
Investment Policy Statement	Road map of objectives, goals, constraints and risk tolerance; first step of portfolio management.
Strategic Asset Allocation	Long-term target mix rebalanced periodically.
Tactical Asset Allocation	Short-term active deviations from the strategic mix to exploit opportunities.

Sharpe ratio	Excess return per unit of standard deviation (total risk).
Treynor ratio	Excess return per unit of beta (systematic risk).
Attribution analysis	Splitting excess return into allocation, selection and interaction effects.
Novation	Clearing corporation becoming buyer to every seller and seller to every buyer.
Modified duration	Approximate % price change of a bond for a 1% change in yield.
ODR	Online Dispute Resolution: pre-conciliation, conciliation, then binding arbitration via SMART ODR.
FIU-IND	Financial Intelligence Unit - India: central agency receiving suspicious transaction reports.
PaRRVA	Past Risk and Return Verification Agency: CARE Ratings verifies past performance; NSE is the data centre.
CSCRF	SEBI's Cybersecurity and Cyber Resilience Framework for regulated entities (Aug 20, 2024).
PIS	RBI's Portfolio Investment Scheme letting NRIs/OCIs invest in listed shares; not required for PMS investments.
Contra trade	An opposite trade within the restricted period after a trade by a designated person.

⚡ Quick revision: the night before

1. PMS minimum ₹50 lakh in cash or securities; not applicable to accredited investors or co-investment PMs.
2. Discretionary = PM decides; Non-discretionary = client decides, PM executes; Advisory = client decides and executes.
3. Advisory-only PMs need not appoint a custodian; everyone else must.
4. Exit load caps 3% / 2% / 1%; nothing after 3 years; no lock-in allowed.
5. No upfront fees; opex excluding brokerage max 0.50% p.a. of average daily AUM.
6. Client funds in a separate account in a Scheduled Commercial Bank; each client's securities segregated.
7. PM cannot borrow for clients, leverage for derivatives, or invest in another PM's portfolio.
8. Pooled trades allocated pro rata at weighted average price of the day.
9. Grievances: 21 calendar days; then SCORES; then ODR (pre-conciliation, conciliation, arbitration).
10. STR to FIU-IND within 7 working days; PMLA cash above ₹10 lakh; records 5 years.
11. Disclosure Document given with account opening form before agreement; PM performance for last 3 years in TWRR.
12. MITC for new clients from Oct 01, 2024; existing clients by Jan 01, 2025.
13. Direct on-boarding: only statutory charges.
14. Reports to clients at least every 3 months, including distributor commission.
15. Advertise TWRR vs benchmark; report XIRR plus min/max/median to each investor.
16. IA tagged to one strategy; APMI allows max 3 benchmarks per strategy; tagging change = free exit.
17. IPS is the first step; risk tolerance = willingness, risk capacity = ability.
18. SAA long-term passive; TAA short-term active within ranges.
19. Sharpe uses SD; Treynor uses beta; equal ranking only for fully diversified portfolios.
20. Allocation effect = Σ(Wp - Wb)Rb; Selection = ΣWb(Rp - Rb).
21. Equity LTCG >12 months 12.5% above ₹1.25 lakh; STCG 20%.
22. Debt LTCG >24 months 12.5%, no indexation since July 2024.
23. F&O = business income; no set-off against salary; carry forward 8 years.
24. PMS fees and GST (18%) are not deductible from capital gains for individuals.
25. NRIs trade F&O via PMS only from NRO funds; PIS approval not needed for PMS.
26. Total derivative exposure must not exceed the client's portfolio value.
27. Non-disc./advisory up to 25% in unlisted securities; 100% for large value accredited investors.
28. Pre-cleared trades within 7 trading days; contra trade ban at least 6 months.
29. Distributors: no assured returns, no gifts/rebates, disclose commissions, APMI registration mandatory.
30. Bond prices move inverse to yields; low coupon and long maturity mean more volatility.
31. Futures and options are exchange-traded; forwards and swaps are OTC.
32. NEW 2026: Mutual fund definition now cited from SEBI (Mutual Fund) Regulations, 2026, covering gold and silver related instruments.
33. NEW 2026: PaRRVA operationalised (SEBI circular Apr 29, 2026): CARE Ratings verifies, NSE is the data centre; only PaRRVA-verified metrics from May 03, 2028.
34. NEW 2026: Unregistered entities cannot communicate certified past performance; 2-year transition for pre-PaRRVA data.
35. NEW 2026: CSCRF section added: goals Anticipate, Withstand, Contain, Recover, Evolve; MIIs include exchanges, depositories, clearing corporations, KRAs and QRTAs.

36. NEW 2026: Cyber incidents to be reported within 6 hours by email and within 24 hours on the SEBI Incident Reporting Portal (aligned with FSB's FIRE format); SEBI task force cyber-suraksha.ai.

🗓️ 14-day study plan (2 h/day)

Days 1–2: Foundations (Ch 1–2)

- Read Chapters 1 and 2; make a one-page sheet on required return and primary-market instruments
- Take Mock 1

Days 3–4: Stocks, bonds, derivatives, CIVs (Ch 3–6)

- Practise P/E, PEG, Gordon, CAPM, FCFF, modified duration in Excel
- Memorise rating symbols and AIF/REIT/InvIT types

Days 5–7: PMS core regulation (Ch 7–8)

- Build a flashcard deck of do's/don'ts, exit loads, fee caps, MITC dates, ODR stages
- Work the gross vs net return and HWM/hurdle examples
- Take Mocks 2 and 3

Days 8–10: Process and performance (Ch 9–10)

- Draw the portfolio management process and SAA vs TAA table from memory
- Solve TWRR, Sharpe, Treynor and attribution problems
- Take Mock 4

Days 11–12: Tax and regulation (Ch 11–12)

- Tabulate tax rates and holding periods
- Revise PMLA, insider trading timelines, distributor code of conduct, PaRRVA and CSCRF
- Take Mock 5

Days 13–14: Full-length practice

- Take Mocks 6 and 7 under timed conditions
- Run the 100-question simulator; review every wrong answer
- Read quickRevision the night before

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.